

AI & Technology Moat — Signal vs. Sell-Side

TO Benefit Street Partners — Investment Committee
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 RE TCN (Project Teton): does the AI constitute a real moat?
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BOTTOM LINE UP FRONT

TCN is a good business with **no AI moat**. The CIP and the Palo Alto commercial VDD sell an "AI + compliance moat" the technology does not support. Fund the franchise; price the AI as an option, not a fact.

WHAT'S REAL — FUND THIS

- **~\$60M ARR, ~37% 2026E growth, ~20–24% EBITDA** — a bootstrapped Rule-of-60. Genuinely attractive.
- Sticky: ~98% logo retention and deep outbound-dialer switching costs.
- **Consumption pricing** (not per-seat) — well-positioned to monetize AI usage *without* cannibalizing itself. The single best part of the story.

WHAT'S HYPE — DON'T PAY FOR IT

- **"AI moat."** One in-production proprietary model: SmartAMD, an answering-machine detector. The generative AI (transcription, summaries, QA) runs on GPT / Gemini / Whisper — rented. Agentic voice is launched but pre-traction: **one customer, ~\$1M ARR**. A launch, not a moat.
- **"Compliance moat."** Compliance *marketing* is table stakes — LiveVox, Five9, Convoso and AI-native Skit.ai all sell it; buyable à la carte (DNC.com, Gryphon). Compliance *depth* (court-tested audit records) is a modest vertical/legal edge — not an AI one, and eroding as AI-natives go compliance-native.
- The Palo Alto VDD grades **nearly every finding maximum-positive** — a second marketing deck, not independent diligence.
- **"\$14.4B AI TAM"** assumes 100% AI-agent adoption across all verticals. A ceiling dressed as an opportunity.

THE RISK NOBODY PRICED

Consumption pricing means volume shifting to AI is partly **monetized, not lost** — as long as calls still traverse TCN's dialer. The real risk is **dial-path retention**: if AI-natives (Decagon, Sierra, Skit.ai) bring their own compliant telephony and win the dial path, TCN is disintermediated into commodity pipes. Neither document stress-tests this — it is the gating technical-diligence question.

RECOMMENDATION

- Underwrite the ~\$60M franchise on **switching costs + consumption pricing + last-independent-in-a-niche** (post-LiveVox/NICE). Treat AI as optionality, not thesis.
- **Do not pay an AI premium.** One question gates the tech DD: *does TCN stay in the call path as AI agents replace human seats?*

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Prepared for Benefit Street Partners. Based on the Project Teton CIP, the Palo Alto Strategy Group Commercial VDD, competitor public materials, and independent technical analysis. Figures per CIP/management, unaudited. Not investment advice. Confidential — do not distribute.